COURSE

Pearson BTEC Level 1/Level 2 Tech Award in Enterprise (603/7063/4)

Sources of finance

Component 3: Marketing and Finance for Enterprise · C5 Sources of business finance

Revision for Component 3: Marketing and Finance for Enterprise: each firm works it out on its own deals.

Class	Topic
Pearson BTEC Level 1/2: Tech Award in Enterprise, First in Business	**Sources of finance**

THE LESSON

Setup					2 min
Round 1					Decisions 3 min · Deals 5 min · Topic tasks 4 min
Firm decisions	**Deals**	TASK 1 **Total to pay back**	TASK 2 **Short-term sources**		
Round 2					Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min
Firm decisions	**Deals**	TASK 3 **Rank total interest**	TASK 4 **Loan or overdraft**	**B2B deal**	
Round 3					Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min
Firm decisions	**Deals**	TASK 5 **Loan or own profit**	TASK 6 **Cheaper loan cost**	**B2B deal**	
Final questions					3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Same interest every year.

Total to pay back?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Loan	**£50,000**
Interest, each year	**3%**
Repaid over	**4 years**

METHOD

Total = loan + years × yearly interest

£50,000 + 4 × £1,500 = £56,000

Why: The loan costs £6,000 in interest.

Task 2

ROUND 1

You need £8,000 for three weeks to cover a gap.

Which two sources fit best?

PICK TWO

- ✔ **A bank overdraft**
- ○ A five-year bank loan
- ○ A mortgage
- ○ Selling shares
- ✔ **Trade credit from a supplier**

Why: Short-term needs suit short-term finance.

Task 3

ROUND 2

Three ways to borrow £10,000, simple interest.

Order by total interest, cheapest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Card: 24% a year for 3 months**
2. **Overdraft: 15% a year, 6 months**
3. **Loan: 8% a year for 2 years**

Why: Interest: £600, £750, £1,600.

Task 4

ROUND 2

Loan or overdraft?

Extra cost of the overdraft?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Money needed	**£20,000**
Loan interest, for the year	**4%**
Overdraft charge, a month	**£200**
You need it for	**7 months**

METHOD

Extra cost = months × overdraft charge − loan interest

7 × £200 − £800 = £600

Why: The overdraft costs £600 more here.

Task 5

ROUND 3

You want a £30,000 workshop ramp. You have £40,000 of profit kept in the firm, not needed elsewhere.

How should you pay, and why?

PICK A OR B AND GIVE A REASON

- ○ Take a loan at 9%
- ✔ **Use the profit kept in the firm**

Why: Retained profit costs no interest and need not be repaid.

Task 6

ROUND 3

Borrow £25,000.

Total cost of the cheaper loan, with fees?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Bank interest, each year	**7%**
Bank fee, one-off	**£400**
Credit firm, interest a year	**9%**
Repaid over	**4 years**

METHOD

Each loan: interest × years (+ fee); take the cheaper

Bank £7,400; credit firm £9,000; cheaper £7,400

Why: The bank is cheaper, even with the fee counted.

Final questions

6
questions for each pupil

136
Level 2 Business questions

9
of them on sources of finance

The game draws 6 questions on this topic.

1 A dealer borrows £40,000 and will repay £44,000 in total. What is the interest on the loan as a percentage of the amount borrowed?
10%.

2 A workshop borrows £30,000. The interest over the loan term is 15% of the amount borrowed. What is the total repayment?
£34,500.

3 A normally healthy dealer has a short, forecast cash gap before customers pay. Which source may be most suitable?
An overdraft with a limit covering the temporary gap.

4 A dealership wants to finance a workshop extension expected to last many years. Why might a long-term loan be suitable?
Repayments can be spread over the asset's life.

5 A profitable private company uses accumulated profit to buy diagnostic equipment. What source of finance is this?
Retained profit.

6 Loan A: borrow £25,000, repay £28,000. Loan B: borrow £20,000, repay £22,800. Which has the lower interest percentage, and by how much?
Loan A, by 2 percentage points.

7 A loan's total repayment is £11,500 and its interest is 15% of the amount borrowed. How much was originally borrowed?
£10,000.

Final questions

8 The Finance lead labels a £55,000 total repayment on £50,000 borrowing as 110% interest. Which statement corrects the error?

Interest is 10%.

9 The Finance lead obtains diagnostic equipment by paying a deposit and agreed instalments while using it. Which source is described?

Hire purchase.